

		of the award upon the petitioner.’ (Code Civ. Proc., § 1288.4. “The court therefore CONTINUES the hearing as stated above to allow Petitioner an opportunity to remedy these issues. “Any supplemental filing and proof of service are to be filed at least five court days before the hearing. “Counsel for Petitioner is ordered to give notice of this ruling.” Petitioner has not filed any notice of the court’s prior ruling nor has Petitioner filed anything to address the deficiencies the court pointed out in its prior ruling. The court ordered any such filings to be made at least five court days before today’s hearing, and petitioner failed to do so. Based on the foregoing, the petition is DENIED WITHOUT PREJUDICE. Petitioner’s counsel is ordered to give notice of this ruling.
4.	<i>In Re: Shepard Douglas, LLC</i> <i>2026-01559770</i>	Before the court is the petition of petitioner Shephard Douglas, LLC (Petitioner) for court approval of the proposed transfer of certain periodic payments real party in interest and payee Lucila Barocio (Payee) is scheduled to receive under a structured settlement. As more fully set forth below, the hearing on the petition is CONTINUED TO THURSDAY, AUGUST 27, 2026, AT 2:00 P.M., IN DEPARTMENT C23, for Petitioner to provide additional information necessary to enable the court to determine whether the required findings can be made. In these proceedings, Petitioner seeks court approval for Payee to transfer one lump sum payment of \$20,000 due February 16, 2028, one lump sum payment of \$30,000 due February 16, 2029, and one lump sum payment of \$40,000 due February 16, 2030. These payments total \$90,000 and have a discounted present value of \$77,892.70. In exchange for transferring the right to receive these monthly payments, Payee would receive a present, lump sum payment of \$45,000, which represents 57.7 percent of the payments’ present value and equates to an equivalent interest rate of 24.7 percent if Payee were to take a loan. The petition does not include all information and documents required by the Insurance Code, including a

		full copy of the annuity contract, a copy of the underlying structured settlement agreement, or a copy of the prior petitions. (Ins. Code § 10139.5, subd. (f)(2)(E), (F), (G).) Payee and Petitioner also have not provided an adequate explanation of their efforts to obtain and provide complete copies of these documents. (Ins. Code § 10139.5, subd. (f)(2)(H).) There also is insufficient information regarding the prior petitions, including the amount of money Payee received, the reasons for pursuing or completing the transactions, whether Payee was satisfied with the previous transactions, whether there were any attempted previous transactions that were denied, dismissed or withdrawn within the past five years, and whether Payee and/or her family is experiencing a hardship situation. (Ins. Code § 10139.5, subd. (b)(10)-(13), subd. (d)(6).) Furthermore, Insurance Code section 10139.5, subdivision (b) requires the court to consider a variety of circumstances, including Payee's financial and economic situation, to determine whether the transfer is fair and reasonable, and in the best interest of Payee. Petitioner and Payee, however, have failed to provide sufficient information for the court to make such a determination. Although Payee states she does not have any minor children or child support obligations, Payee fails to state whether she has any dependents, her means of income other than her annuity and part-time job, and the type and amount of monthly expenses she incurs. Significantly, Payee also fails to state what happened to the funds she received from the prior transactions. That is an important aspect of her economic situation. Moreover, Payee fails to adequately explain how she intends to use the proposed funds, i.e., the amount of accrued debt and how she accumulated the debt, what school or college she attends, and the estimated amount of tuition and supplies. For example, tuition expenses are vastly different at a community college, a private four-year college, and a trade school. The court needs more information about Payee's financial circumstances and a greater explanation about how this proposed transaction is fair, reasonable, and in Payee's best interest before the court can determine whether this transaction can be approved. Accordingly, the hearing is CONTINUED as set forth above and Petitioner and Payee are ordered to file all
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	required documents, additional declaration(s), and any other documents needed to provide the court with the foregoing information and to demonstrate the transaction is fair and reasonable and in Payee's best interest. All filings are ordered to be filed and served at least 20 days before the continued hearing date. <u>Despite the continuance, Petitioner's counsel is ordered to appear for the hearing to address whether the court should issue an order to show cause why monetary sanctions should not be imposed on counsel under Code of Civil Procedure section 177.5 for disregarding the court's prior orders to ensure the payee is properly identified and named as a real party in interest in all petitions counsel files.</u> The court previously provided this admonition to counsel on at least two separate occasions: (1) on June 5, 2025, in the case of <i>In re Assured Management Corporation</i>, case no. 2025-01458602, and (2) on December 18, 2025, in the case of <i>In re: Statutorily Defined Interested Party</i>, case no. 2025-01508513. Specifically, the court admonished counsel to use the complete names of all payees in any future petitions, unless there is a legitimate privacy or other appropriate reason for using a fictitious name and proper procedures are followed. Nonetheless, when counsel filed this case on March 26, 2026, the original petition did not identify Payee by her name or otherwise identify her in any way. Indeed, the original petition did not name Payee, did not include a declaration by Payee, and did not include any of the necessary exhibits that would identify Payee. No basis for failing to identify Payee was offered. Two months later, on May 26, 2026, Petitioner filed a first amended petition that identified Payee and provided the other documents referring to Payee by name. Insurance Code section 10139.5(c)(1) requires every petition for approval of the transfer of structure settlement payments include the payee's name, address, and age. Moreover, Payee is a real party in interest in this case. The failure to identify Payee by her full name in the original petition impedes the ability of the court and other interested parties to verify whether Payee had any prior petitions, and, if so, whether any of them were denied and the reason for the denial. No justification for this failure is provided and it appears to be intentional.
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		<u>Finally, the court directs the clerk to confirm the case title, register of actions, docket, list of parties, and court index accurately reflect Lucila Barocio is the payee and real party in interest in this case, and to the extent necessary, correct those records to accurately reflect the parties to this action.</u> Petitioner's counsel is ordered to give notice.
5.	<i>In re 8860 La Salle St. 4, Cypress, CA 90630</i> 2026-01554689	OFF CALENDAR based on request for dismissal filed on June 9, 2026.
6.	<i>In Re: 509 Ventaja, Newport Beach, CA 92660</i> 2025-01521014	Before the court are two competing claims to \$74,259.90 in surplus funds (Surplus Funds) from the proceeds of a foreclosure sale of real property located at 509 Ventaja, Newport Beach, California 92660 (Property). The two claims the court received were filed by (1) Radonix, Inc. seeking \$144,999.61, and (2) the California Employment Development Department (EDD) seeking \$18,784.44. The Surplus Funds were deposited with the court on March 17, 2026, by petitioner Prestige Default Services, LLC (Petitioner), and Petitioner was thereafter discharged of any further responsibility for the distribution of the Surplus Funds as provided by Civil Code section 2924j. As such, the only remaining issue in this matter is the resolutions of the competing claims to the Surplus Funds. Civil Code section 2924k establishes the priority pursuant to which the Surplus Funds are to being distributed following the costs and expenses of the foreclosure sale and the satisfaction of the obligation on which the foreclosure sale was based. Specifically, following those two items, the Surplus Funds are to be distributed to any junior lien encumbrances in order of their priority followed by the trustors. (Civ. Code, § 2924k, subd. (a).) "California follows the 'first in time, first in right' system of lien priorities. ([Civ. Code,] § 2897.)" [Citation.] However, that rule is not without exceptions. 'Other things being equal, different liens upon the same property have priority according to the time of their creation' (Civ. Code, § 2897.)" (<i>JP Morgan Chase Bank, N.A. v. Banc of Am. Prac. Sols., Inc.</i> (2012) 209 Cal.App.4th 855, 860.) On April 9, 2026, Radonix and EDD filed a stipulation and proposed order agreeing to the respective priority of their claims, and requesting the court distribute the Surplus Funds in accordance with their stipulation and proposed